CHAPTER

11

External Trade and Capital

- Balance of Payment
- Foreign Exchange
- Purchasing Power Parity (PPP)
- Convertibility
- Barriers to Trade
- Economic Integration
- Related Terms

External sector deals with export and import of goods and services, and financial capital between nations. The countries export goods and services over which it has advantage over other countries and import goods and services in which it lacks advantage over others.

This chapter covers balance of payment, foreign exchange, purchasing power parity, convertibility, barriers to trade, economic integration and related terms.